NORTHBRIDGE INDUSTRIES, INC.
1820 Chandler Works Parkway, Akron, Ohio 44306
Office of the General Counsel

June 18, 2025

VIA CERTIFIED MAIL, RETURN RECEIPT REQUESTED
AND ELECTRONIC MAIL

Mr. Gunnar Holmqvist
Engagement Partner
Caldera Consulting Group, LLC
233 West Kinzie Street, Suite 1900
Chicago, Illinois 60654

Re: NOTICE OF MATERIAL BREACH — Master Services Agreement CCG-MSA-2024-0417 and Statement of Work No. 001

Dear Mr. Holmqvist:

This letter constitutes formal written notice of material breach pursuant to Section 12.2 of the Master Services Agreement dated May 20, 2024 (the "Agreement") between Northbridge Industries, Inc. ("Northbridge") and Caldera Consulting Group, LLC ("Caldera").

Caldera has materially breached Section 8.1 of the Agreement, which warrants that Services will be performed in a professional and workmanlike manner consistent with generally accepted industry standards. The breach is continuing. Northbridge specifies the following:

First, the Aperion Cloud ERP system deployed on March 3, 2025 was not fit to be placed into production. Within seventy-two hours of cutover, 2,847 sales orders were stranded in an unreleased status and could not be fulfilled. Order-to-cash has not operated without manual intervention on any day since go-live.

Second, the data conversion was materially deficient. Northbridge has been unable to reconcile its accounts receivable subledger to its general ledger since March 3, 2025. Its Corporate Controller has advised that the first quarter close cannot be completed within the normal cycle and that a restatement risk has arisen.

Third, production at the Laredo facility was halted on lines 2 and 4 on March 17, 2025 because the manufacturing requirements planning function generated planned orders against on-hand balances that did not exist.

Fourth, open Severity 1 defects reached sixty-one on April 2, 2025 against a hypercare exit threshold of zero. Forty-three remain open as of the date of this letter.

Northbridge has incurred substantial losses as a direct result, including expedited freight, manual order processing, temporary labour, inventory write-offs, and incremental audit and advisory fees. Northbridge's largest distributor has issued a formal service-level escalation and has threatened termination.

Pursuant to Section 12.2, Caldera has thirty (30) days from receipt of this notice to cure the breaches specified above. Cure requires, at minimum, that all Severity 1 defects be closed, that the accounts receivable and on-hand inventory conversions be reconciled to not less than 99.5%, and that order-to-cash operate for fifteen consecutive business days without manual intervention.

If the breaches are not cured within the cure period, Northbridge will terminate the Statement of Work for cause and will pursue all remedies available to it at law and in equity.

Northbridge has suspended payment of invoices INV-2025-0331 and INV-2025-0415, together totalling $902,500, pending cure. Nothing in this letter shall be construed as a waiver of any right or remedy, all of which are expressly reserved.

Very truly yours,

Consuelo Baptiste-Ruiz
Vice President & General Counsel

cc: P. Raghunathan, Chief Financial Officer; D. Kruszewski, Vice President, Operations; E. Whitfield-Marsh, Esq., Shaw, Dunleavy & Prentice LLP